

Indian Book Store – Executive Insights Report

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Professional Summary

This executive report analyzes the commercial performance of the Indian Book Store using sales volume, revenue, cost, delivery behavior, rating segmentation, and product type profitability. The purpose is to support management and sales executives in identifying profit drivers, operational risks, and strategic growth opportunities.

Key Performance Indicators (KPIs)

-Total Quantity Sold: **176,221 Units**

-Total Revenue: **39,345 ₹**

-Total Cost: **27,542 ₹**

-Net Profit: **11,804 ₹**

-Overall Profit Margin: **30%**

-Cost Ratio: **70%**

Business Performance Insights

1) Revenue Concentration (Pareto Effect) A limited number of SKUs generate a disproportionate share of revenue and traffic. Products such as Lucent GK (56,305 units), Math Concept King (26,148 units), My First Picture Library (16,149 units), and Complete Arithmetic (9,925 units) dominate volume. However, their per-unit margins are relatively thin, positioning them as traffic drivers rather than profit maximizers. These products are essential for acquisition but should be supported with upsell strategies.

2) Delivery Speed as a Revenue Lever Today Delivery produced 5,787 ₹ profit from 59,851 units, contributing nearly 49% of total profit. Not Important delivery generated 5,179 ₹ profit from 102,576 units, while Hot Deals produced only 837 ₹ profit from 13,794 units. This indicates that customers preparing for competitive exams value speed over discounts. Fast availability directly improves conversion and revenue per order.

3) Rating vs Profitability Behavior High-rated products sold 22,687 units and generated 2,202 ₹ profit. Medium-rated products drove scale with 148,603 units and 6,797 ₹ profit. Low-rated products sold only 4,931 units but delivered 2,804 ₹ profit, resulting in the highest profit per unit. This indicates niche demand and stronger pricing power where competition is limited. Customer satisfaction alone is not a direct indicator of commercial value.

4) Margin Structure and Profit Density Several best-selling SKUs operate on thin margins, especially general knowledge and practice books. In contrast, niche competitive exam materials provide higher profit density despite lower volumes. Without monitoring profit per unit, the business risks over-investing in volume instead of value.

5) Segment and Publisher Strength Hindi-medium competitive exam books form the backbone of profitability. Publishers and types such as Pinnacle Hindi (1,954 ₹ profit), Toppers Notes (1,693 ₹ profit), Study IQ (664 ₹ profit), Adda247 (601 ₹ profit), and BD Chaurasia (671 ₹ profit) dominate profit contribution. This clearly defines the store's positioning as a government exam preparation specialist. Optimization Opportunities High-volume, low-margin products should be used as entry points for cross-selling premium exam books. Discount-heavy Hot Deals require pricing review, as they generate only 837 ₹ profit from 13,794 units. Fast delivery should be applied strategically to high-margin SKUs to amplify revenue per transaction. Improve content quality and presentation of low-rated but profitable products to protect long-term brand trust. Introduce profit-per-unit as a core KPI alongside revenue and quantity.

Strategic Recommendations

for Management Increase inventory depth for Hindi competitive exam titles and UPSC/SSC preparation materials. Build product bundles such as SSC Math + Reasoning + GS to improve basket profitability. Reclassify Hot Deal strategy to focus on controlled discounting instead of volume erosion. Prioritize Today Delivery tagging on premium and urgent exam-prep books. Track SKU-level profit contribution monthly to identify rising and declining performers. Balance brand reputation by improving low-rated listings while maintaining premium pricing power